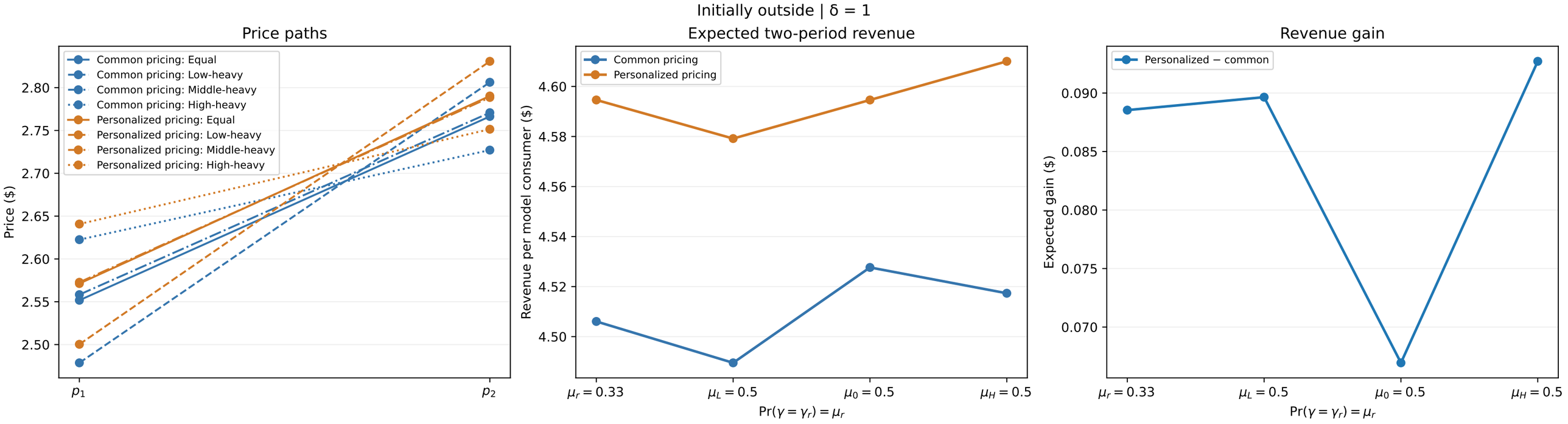
Initially outside | δ = 1
Price paths
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Price ($)
2.80
2.75
2.70
2.65
2.60
2.55
2.50
p_1
p_2
Expected two-period revenue
Common pricing
Personalized pricing
Revenue per model consumer ($)
4.60
4.58
4.56
4.54
4.52
4.50
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Personalized − common
Expected gain ($)
0.090
0.085
0.080
0.075
0.070
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$